

The Rule You Write on Saturday

Markets are shut until Monday morning, which makes this the only stretch of the week when a rule can be written calmly.

THE READING

The S&P 500 closed Friday at 7,489.72, up 0.70%, forty-eight points beneath a ceiling that had been raised that same morning. The bond market disagreed all day. The ten-year yield added 8.2bp to 4.745%, its highest since January 2025 and through the 4.71% ceiling Hedgeye had just lowered; the thirty-year reached 5.28%, a nineteen-year high. Korea's Kospi rose 17.91%, a record, and New York sold what Korea had bought — Micron traded \$930.88 and closed at \$823.03. The index rose anyway, on Amazon at +15.32% and Alphabet at +6.73%. Three sessions have now produced three different explanations for the same index level. The mood is relief that cannot keep its story straight.

WHAT WISDOM WOULD SAY

Jon Elster, in *Ulysses and the Sirens* (1979), examined the rational act of binding a future self — a choice made now, while calm, that removes an option from a later self who will not be. The point is not the constraint. The point is the timing. A rule is worth something only if it was written when writing it cost nothing.

Friday supplied a public example of the form. Keith McCullough published his test before the open: if the technology-sector ETF recaptured \$180 he would stop out of his short, with \$176 the trend level beneath it. It traded as high as \$178.62 and closed at \$175.35. The answer came back no, and it came back without argument, because the question had been asked when nobody yet knew what the answer would be.

The failure mode is familiar. A rule written under pressure is not a rule. It is a rationalisation wearing a number, and it will move again the next time the number is inconvenient.

THE RISK IT JUSTIFIES

Nothing today. Futures reopen Sunday evening in New York, six o'clock Monday morning here. What the closed market justifies is the writing itself — two or three levels, on paper, with an action attached to each, before Asia has a chance to argue.

The candidates are already on the page. A ten-year yield through a ceiling that was lowered to meet it. An index in the top quarter of a range it needed a fifteen-per-cent move in one constituent to reach. A VIX at 15.99 with its signal downgraded to bearish, into the first week after month-end. The honest version runs both ways: name the level that would make you add, not only the one that would make you cut. If you cannot name a number you would actually act on, you do not have a position. You have an opinion with money attached.

What would change the answer: a Monday session in Asia that confirms Friday's New York close rather than fading it.

What did you decide this weekend that Monday will not be able to talk you out of?